Syllabus Edition
First teaching 2025
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Business Success & Failure

Exam code: 0450, 0986 & 0264, 0774

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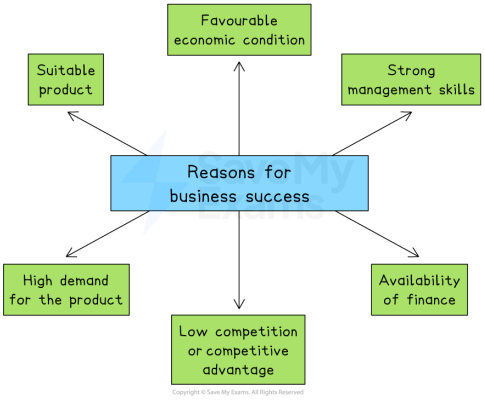
Why businesses succeed

- Successful businesses often share similar strengths, such as good management, strong products and enough finance
- These factors help them grow, stay competitive, and meet customer needs in changing markets



Key reasons for business success include strong management skills, the availability of finance and favourable economic conditions

Strong management skills

- Good managers make **effective decisions**, **organise resources** well and **motivate** employees
- They **plan** ahead, **solve problems** quickly, and **lead** the business towards its goals
  - For example, Steve Jobs helped Apple succeed by making bold decisions and focusing on design and innovation

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Availability of finance

its operations and dominate online shopping

Suitable product

- A successful business offers a product that solves a problem, meets customer needs or has unique features
- Products must be **high quality** and **appealing** to the target market
  - For example, Dyson vacuum cleaners became popular by fixing problems like loss of suction

High demand for the product

- When many people want the product, sales rise and the business earns more profit
- Demand can increase due to trends, changes in lifestyle or special events
  - For example, Zoom became a global success during the COVID-19 pandemic as remote working increased

Favourable economic conditions

- In a strong economy, people have more money to spend, which increases sales
- Low interest rates and low inflation can also help businesses grow
  - For example, during economic growth periods, car manufacturers often see rising sales

Low competition or competitive advantage

- Businesses succeed when they offer something better than their rivals
  - For example, lower prices, better quality or a strong brand
- Having few competitors also gives more control over pricing and customers
  - For example, Nike stays successful by constantly innovating and using powerful branding

Why businesses fail

- Business failure is a risk to **both new and established businesses**
  - In 2021, an average of 8% of businesses in EU countries failed
    - In Estonia, almost one in four businesses failed
    - However, in **Greece**, just over 2% of businesses failed
- **New businesses are often more at risk of failure** than well-established businesses
  - This is often due to **lack of management skills, limited experience** or **cashflow problems** during the initial start-up phase

business owners may lack the skills to understand findings and make effective decisions

The main reasons why some businesses fail

Financial factors	Poor management
• A business may be **unable to generate enough revenue** to sustain its operations • **Costs may rise** sharply and eliminate **profit margins** • **Cash shortages** mean that **creditors** cannot be paid what they are owed • **Limited access to finance,** such as loans or trade **credit** can be particularly problematic for start-ups	• **Lack of experience** can lead to poor decisions related to product range, pricing or promotional activity • Making decisions based on **hunches** rather than market research • **Ineffective coordination** and **planning** of business operations, such as stock purchasing or staffing, can increase costs
External factors	**Overtrading**
• Ineffective or **delayed response** to new technology, powerful new competitors and major economic change • Changes in **laws** or **taxation** can increase pressure on businesses to make difficult choices	• This occurs when a **business expands too quickly** • **Poor coordination and planning** of growth can lead to **diseconomies of scale**, which increases costs

Examiner Tips and Tricks

Don't give vague answers like "the business failed because it was bad" – use specific factors such as poor management, lack of finance, or falling demand, and always link them to the impact on the business

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